

a similarity in economic structure, namely the presence of a dominant state sector. Realization of the possibilities of the state sector however requires a political system that can genuinely reflect people's interests. Whether a successful social model will emerge with dominant state sector in the economy and a genuine public spirit in the political arena is something that remains to be seen.

2. Different meanings of *Transition*

The term *transition* has been used in the literature in many different ways. It is therefore useful to be familiar with them in order to follow the discussion of this volume. The following provides a brief, partial survey.

Transition from one social formation to another – Systemic transition

In the grand Hegelian-Marxian scheme, societies evolve through stages and thus experience transition from one social stage (socio-economic formation) to another.¹ The most succinct formulation of this conception of transition can be found in Marx (1859), where it is postulated that human societies have crossed "Asiatic," "Antique," "feudal," and "modern bourgeois" stages, and is slated for a future "communist" stage. This is obviously a very sweeping concept of transition, encompassing changes in all spheres, including economy, politics, ideology, and culture. This kind of transition may be called systemic transition, meaning transition from one social system to another.

Transition from agriculture to industry

In the more limited scope of development economics, one of the early uses of the term "transition" has been to refer to the shift of the economy from agriculture to industry. The term was thereby associated with the concept of "structural transformation" that focused on the changes in the composition of the Gross Domestic Product (GDP).² In the Marxian scheme above, the transition from agriculture to industry is generally thought to be a part of the transition from feudalism to capitalism. Many development economists have however taken a narrow view of this transition, avoiding the issues of accompanying institutional and broader changes. For example, Arthur Lewis models this transition as a process of shift of labour from the traditional (agricultural) sector to the modern (industrial) sector, without always making explicit the institutional arrangement under which this shift takes place.³

Transition from planning to market

In the recent discussion, the term *transition* has often been used to refer to the switch from central planning to market. Central planning as a method of coordination of economic activities of the country as a whole arose first in the USSR, where under Stalin it gradually took the form of *total planning*, leaving

little room for the market in the process of resource allocation.⁴ This model was also adopted by other "socialist" countries of both Europe and Asia. Experience however has shown that today's large and complex economies cannot be coordinated effectively without allowing market an appropriate role. As a result, a switch from central planning (practiced as total planning) to market mechanism has been the common feature of transition across almost all (previously) "socialist" countries.

Transition from public to private ownership of productive assets

The term transition has also been used in recent years to refer to the switch from public to private ownership of productive assets. While there is a broad consensus about the necessity of a transition from total planning to market, the question whether this switch has to be accompanied by a transition from public to private ownership of productive assets remains controversial.⁵ Even if it is agreed that both these transitions have to occur, the question remains regarding the pace, extent, and interrelationships of these transitions.

Transition from one-party to multi-party system

Yet another way in which the term transition has been used in the recent period is to refer to the change from one-party political systems to multi-party systems. Proceeding from the theory of the "dictatorship of the proletariat," the USSR gravitated to a one-party based political system.⁶ Similar one-party (dominated) political systems were adopted by other countries of socialism too, in both Europe and Asia. According to some commentators, the changes in the economy – from planning to market and from public to private ownership – need to be accompanied by a change from the one-party system (often described as "totalitarianism") to multi-party system (often referred to as "democracy"). However, not all are agreed on this issue.

Transition from "socialism" to capitalism

The combination of transitions from planning to market, public to private ownership, and one-party to multi-party system is often referred to as the transition from "socialism" to capitalism. From this perspective, the former are particular dimensions of the latter general, systemic transition. This transition matches in a sense with the Hegelian-Marxian concept of systemic transition from one socio-economic formation to another. However, the direction of this transition is opposite to what was postulated by the Marxian scheme, noted above. Some scholars have used this "reverse transition" as a proof that Marxism is wrong, and that capitalism is the "end of history." Others however do not agree that history ends with capitalism, and instead point to the multiple crises faced by capitalism and the new vistas constantly opened up by technological progress

as evidence of the necessity and possibility of further social evolution. Only history will prove whether history has ended!

"Systemic" and "Stand-alone" economic transition

The experience therefore shows that economic transition can take place in two ways. The first is as a part of the "systemic" transition, and the second is as a "stand-alone" process. While the former republics of the USSR and East European countries provide examples of the first, China and Vietnam offer examples of the second. There is therefore a sharp contrast between the economic transition processes witnessed by these two groups of countries.

3. Study of Transition

It is not surprising that the transition experience drew the attention of scholars, policymakers, activists, and the public in general. Many diverse views and policy suggestions emerged in this discussion. Broadly, two strands of scholars played an important role in this discussion, though such a neat classification is not always possible, and some scholars participating in it can be thought to belong to both the strands.

Transition as "Area Study" vs. "Applied economics"

One group of scholars participating in the transition study come from the "area study" background. These are scholars for whom the USSR, East Europe, China, and Vietnam were particular (geographical) areas of study.⁸ Many of them devoted their entire careers to studying these countries, learning their languages, visiting them often, striking up personal relationships, etc. They therefore have more detailed concrete knowledge about these countries, including their history, institutions, and culture. Not surprisingly, area studies usually adopt a multidisciplinary approach and draw upon various fields, including economics, politics, sociology, etc. The other strand of scholars came mainly from the economics background. They did not have as much detailed concrete knowledge as the area specialists had, and they therefore approached the transition questions more from abstract reasoning, theories, and models.⁹

Domestic vs. foreign

From another viewpoint, transition discussion and scholars can be divided into "domestic" and "foreign" groups. The former are the scholars of the transition countries themselves, and they obviously have more detailed empirical knowledge of their own countries, including the institutions and personalities. Many of them were engaged in the transition discussion from before, through their participation in previously attempted reforms in these countries.¹⁰ At the same time, the domestic scholars sometimes were less

familiar with the workings of market and capitalism to which the transition was directed. This is particularly true with regard to the workings of the financial markets, which were largely absent in these countries.

The foreign scholars were mostly from Western universities, area study centres and institutes, think tanks, research departments of banks, aid organizations, etc. They got engaged in the transition issues either because of their pre-existing academic interests or because of new consultancy or work assignments, received from the organizations to which they belonged.¹¹

The transition processes in China and Vietnam were mostly determined by domestic policymakers, with input from domestic scholars. By contrast, the transition process in the former Soviet republics and the East European countries often involved considerable participation of foreign scholars, either as "arms-length" advisors or as more "hands-on" administrators. This has been particularly the case in Poland and Russia where western consultants were hired to help with many of the transition steps.¹²

Given the above diversity of background and interests, it is not surprising that many debates arose regarding strategy and tactics of transition. The most important one was the debate between "Big Bang" and "Gradual" approaches to transition.

4. *"Shock Therapy (Big Bang)" vs. the "Gradual Approach" to transition*
The transition debates centred generally around two main issues. The first concerns interrelationships among different specific dimensions of transition mentioned above. The second concerns the pace of transition. These two issues in turn are related.

The questions regarding interrelationships were obviously more important for systemic transition, which had more dimensions of transition involved. An important question in this regard was whether political transition was a necessary pre-condition for or accompaniment of economic transition. Questions of interrelationship were pertinent for stand-alone economic transition too. An important question in this regard was whether transition from public to private ownership of productive assets was a necessary pre-condition or accompaniment of transition from planning to market. The questions regarding interrelationships also involved questions regarding sequencing. Is there a scope of sequencing of the different dimensions of transition, or they have to be undertaken simultaneously? If sequencing is possible, what is the right sequencing? Does the sequencing have to be the same in all countries?

There were many questions with regard to the pace of transition too. Does the transition have to be a one-stroke, quick affair, or it has to be a long drawn, protracted process? Are there objective determinants of the pace of transition, or is it primarily a subjective question?

In response to these questions, broadly two different approaches to transition emerged. One of these came to be known as the Big Bang (or Shock Therapy) approach and the other is the Gradual approach. These names suggest that the distinction between these two approaches concerns mainly the pace of transition. Actually, they often differ with regard to the interrelationships among different dimensions of transition too.

As already noted, the issues of interrelationship and pace are connected. For example, the advocates of the Big Bang approach tend to suggest that the transition has to proceed along all the dimensions almost simultaneously. By contrast, the proponents of the Gradual approach not only argue for a slower pace but also tend to allow sequencing of the different dimensions of transition. Generally, the "area study" scholars were more in favour of the Gradual approach. By contrast, more scholars from the economics background advocated the Big Bang approach.

The rationale of the Big Bang approach is not always fully explained. For example, in order to justify the approach, Jeffrey Sachs, one of prominent advocates of the Big Bang approach, uses the aphorism, "You cannot cross a precipice in two jumps!"¹³ In his view, transition is like crossing a precipice, with no stepping stones in between and therefore has to be accomplished at one go. This is obviously simplistic and in fact assumes what needs to be proved. To begin with, it is not clear why transition has to be viewed as crossing a precipice. Human societies are living organisms, so that comparing them with physical terrain is a false comparison. In the evolution of living organisms there is no precipice – the future state emerges from past state.

Other scholars provided some thoughts that may be construed as arguments for the Big Bang approach. For example, Kornai suggests that there is an affinity between market and private ownership, on the one hand, and between planning and public ownership, on the other.¹⁴ As a result, a switch from planning to market cannot be successful without a corresponding switch from public to private ownership. Thus, both have to be accomplished together. However, this argument concerns more the interrelationship than the pace. For example, it may be possible to achieve both these changes together, but not in such a precipitous way as the Big Bang approach advocates.

Yet others have offered a "political" argument for the Big Bang approach. In their view, if the transition proceeds slowly, those who are opposed to the transition (either because of ideological reasons or because they are economically hurt by the transition) can muster enough political opposition to thwart the transition process before it is complete and offers the anticipated positive results.¹⁵ This is a more potent argument for the Big Bang approach. However, as we shall see, the political argument can be turned on its head and used to support the Gradual approach too.

The arguments for the Gradual approach are easier to understand. As the Chinese saying goes, "Even a long journey has to begin with a short step!" There is also the saying that "Nature does not jump!" More generally, just as building a system takes time, dismantling it also requires time. Moreover, dismantling has to be accompanied by building a new system, which again requires time. Furthermore, as noted above, a new stage of social organism can only emerge from its past stage and not descend from above out of the blue.

An important fact of note here is the *novelty* of the transition process, both systemic and stand-alone. There has been no precedence in human history of a transition of this nature. As a result, "learning by doing" has an important role in this process; and learning can only be gradual.

The above noted political argument for the Big Bang approach can be reversed to serve as an argument for the Gradual approach. It can be argued that proceeding slowly, and limiting initial changes to only those that are politically feasible, may help to develop the political constituency for the reforms and allow the transition process to continue forward. By contrast, introduction of changes across-the-board at the same time is prone to create more dislocations than what the political system is capable of containing.

A more economic argument for the Gradual approach draws upon the capital theory. It points to the fact that capital is *clay* rather than *putty*. Once hardened into a particular shape, the clay cannot be used to create a differently shaped object. Similarly, the existing capital stock (particularly the machine and equipment) cannot be switched instantly from production of one kind of product (say, guns) to the production of another (say, butter). Instead, the existing capital stock needs to be run down through the depreciation process, and new capital has to be built based on the proceeds from the depreciation fund – balancing both the physical and the financial sides of the process. From this viewpoint, the pace of transition is constrained by the rate of depreciation of capital.¹⁶

The debate between the Big Bang and the Gradual approaches was very active during the early 1990s, when the direction of reform in the East European countries and the former Soviet republics was being decided. Most of these countries ultimately adopted the Big Bang approach, though not of the same variety. Introduction of the market was by and large a common feature, but there were variations with regard to its scope and thoroughness. More importantly, different countries witnessed different degrees of privatization and transition from one-party rule to multi-party democracy.

Meanwhile, China and Vietnam followed the Gradual approach, characterized by a slower pace and sequencing of different dimensions of transition. Their initial focus was on letting the market function better, and the

issue of change from public to private ownership was taken up only later and in a restrained way. In fact, private ownership in these countries developed more through creation of new assets (i.e. through growth), rather than from transfer of existing assets from public to private ownership. These countries also postponed the issue of political transition.

At the end of the 1980s and the beginning of 1990s, it was not clear which of the two approaches will yield better results. Though the results of the Gradual approach pursued in China and Vietnam were there, the results from the Big Bang approach were not yet in. The advocates of the Big Bang approach offered bold predictions about the dramatic results that this approach would produce.

The experience of the last several decades did not bear out the bold predictions regarding miraculous results of the Big Bang approach. It is true that results vary across countries. Some countries, such as Poland, are presented as success cases of the Big Bang approach. However, many East European countries and former Soviet republics failed to see dramatic improvement in their economies and life. The per capita income in many of these countries has barely recovered from the precipitous fall it witnessed as a result of application of the Big Bang reform. Even the most successful cases of Big Bang approach cannot compare with the high economic growth rates and increase in material standard of living that China and Vietnam have achieved.

One would expect that the above real life experience had settled the "Big Bang vs. Gradual approach" debate in favour of the latter. That is however not the case. The advocates of the Big Bang approach continue to advocate for their position, finding new arguments and citing new evidence. The first two articles included in this volume therefore engage with the "Big Bang vs. Gradual Approach" debate.

5. Was the Gradual Approach not possible in the USSR?

The volume begins with the article, "Was the Gradual Approach Not Possible in the USSR? A Critique of the Sachs-Woo Impossibility Hypothesis." It challenges the view of Jeffrey Sachs and his co-author, Wing Tae Woo that the Gradual approach was impossible (hence the term "Impossibility Hypothesis") in the USSR and in other European socialist countries.

As noted earlier, among all the scholars involved in the transition debate and process, Sachs has a particular stake in the Big Bang approach. Not only he is the intellectual leader of this approach, he played a direct role in implementing it in several countries, in particular in Russia.

Faced with the contrasting performance of Russia and China, Sachs resorted to the argument that the Gradual Approach was not applicable for the

USSR and other East European countries, because these countries had a very different *economic structure* than that of China. In his view, China had a predominantly agricultural economy with surplus labour, so that reforms in China could take the form of *growth of new sectors* based on surplus labour. The USSR, by contrast, had an over-industrialized economy characterized by full employment, so that reform for her meant mainly *restructuring of the existing economy*.

To examine this hypothesis, the paper abstracts from the "structure" issue by focusing on the industrial sector only. Alongside the agriculture sector, China had a large industrial sector, the dimensions of which in some respects exceeded those of the industrial sector of the USSR. Thus the issue of structure cannot explain why the Gradual approach could not have been applied to the USSR.

Focusing on the industrial sector, the paper shows that the reforms have two sides, the *design* and *implementation*. The design in turn has two aspects, namely the *external environment*, meaning the arrangement for procurement of input and disposal of output, and the *internal incentive structure*, meaning the incentives of various stakeholders in the performance of the enterprise. The implementation mechanism also has two sides, namely the implementation mechanism at the *enterprise level*, and the implementation mechanism at the national, *macro level*. Using this four-dimensional analytical framework, the paper offers a detailed comparison of the industrial reform processes in the USSR and China.

The analysis shows that the Chinese and Soviet SOE reforms differed markedly with regard to both design and implementation mechanism. It is these differences in policy and strategy that determined the outcome of the reform. Thus, contrary to the Sachs-Woo hypothesis, differences in the structure of the economy were not the main reason for contrasting reform paths in Russia and China.

The differences in design and implementation mechanism of SOE reforms were in turn due to mainly the differences in leadership under which the two countries pursued their reforms. While China under Deng Xiaoping followed a cautious and pragmatic course, Gorbachev proved to be prone to adventurism, rooted in a rather shallow understanding of the economic and socio-political issues. Thus, it cannot be ruled out that under a different leadership, the USSR too, belying Sachs-Woo hypothesis, could have followed the gradual approach to reform and have a more successful transition experience.

6. Did Vietnam follow the *Big Bang* approach?

Unable to find success of the Big Bang approach in countries that followed this approach, Sachs and Woo try to do so in countries that actually did *not* follow the Big Bang approach. This can be seen in their contention that the reform measures taken by Vietnam in 1989 meant that the country followed the Big Bang approach. Sachs then counter-poses Vietnam's experience to that of China and suggests that China would have achieved faster growth had it also followed the Big Bang approach.

The second article of the volume – “Vietnam's Lesson for China: An Examination of the Sachs-Woo Hypothesis” – takes up this hypothesis for investigation. It scrutinizes the hypothesis from the viewpoint of (a) accuracy of facts, (b) appropriateness of the characterization (of Vietnam's reform as a Big Bang), and (c) acceptability of the hypothesis that China would have done better had it followed Vietnam.

So far as facts are concerned, the article observes that Sachs and Woo (2002) either misunderstand or misrepresent the history of Vietnamese reforms in several important respects. With regard to the characterization, it transpires that Vietnam's 1989 measures do not satisfy either of Big Bang's two key characteristics, namely that the reform has to be the *sudden* beginning of a process, and that it has to be *big*, meaning both *extensive* in terms of economic activities and institutions that are reformed and *deep* in terms of the changes brought in the economic mechanism. With regard to the contention that China would have grown faster had it followed Vietnam's supposedly Big Bang measures, it is found to be unacceptable in its either prospective or retrospective interpretation.

Why then Sachs and Woo fall into the pitfalls above? The article shows that the reason of the pitfalls lies in the authors' subjective preference for the Big Bang approach. This subjectivity leads them to see Big Bang reforms and success where these do not exist, and to see failure and departure from Gradualism where these are not the case. The article further notes that the subjectivity of Sachs and Woo has several sources, including material and epistemological.

7. Has China reached the *Lewis Turning Point*?

As noted above, the next four articles of the volume focus on transition issues specific to China. The first of these – “Lewis Growth Model and China's Industrialization” – examines China's industrialization in the light of the Lewis growth model.¹⁷ As noted earlier, Lewis model deals with transition in a narrow sense, understood as transformation of the GDP composition resulting from the shift from agriculture (traditional sector) to industry (modern sector).

However, this transition can also be a part of the transition in the broader sense.

Even casual observation suggests that the Chinese economy has many of the features that the Lewis model tries to capture. Yet, this model was not applied before to study the Chinese experience. In this sense, this article represents a pioneering effort.

The paper begins with a brief perusal of Lewis' own writings and those of Fei and Ranis in order to clarify the assumptions and predictions of the Lewis model. The review shows that, despite subsequent extensions, the main prediction of the model remains what is known as the *Turning Point* prediction, according to which the wage of unskilled labour in the 'modern' sector remains by and large unchanged for a considerable period of time before reaching the Turning Point and rising rapidly thereafter.

Empirical testing of the Lewis model has proceeded along several lines. One of these focuses on micro data and aims at testing directly the assumptions of the model. However, the main prediction of the model, namely the Turning Point, is a prediction about macro-dynamics of the economy. Testing the Turning Point hypothesis requires historical wage data in the modern and traditional sectors that are not always readily available. Denoting marginal product of labour and wage in the traditional sector by MP_L^T and w^T , respectively, Minami has shown that, according to the Lewis model, $MP_L^T < w^T$ in the traditional sector until the Turning Point is reached.¹⁸ This article uses Minami's idea to test whether the Lewis Turning Point has been reached in China. It fits a production function to estimate MP_L^T and then compares its value with w^T .

The results show that the agricultural wage has increased over time in China, and MP_L^T increased at a faster rate. However, the latter curve is yet to intersect the former from below, suggesting that, while China is steadily progressing toward the Lewis Turning Point, it has not crossed that point yet. The qualitative features of these results do not change with alternative ways of computing wage and with alternative ways of specifying and estimating the production function.

From a theoretical perspective, the findings lend support to the duality postulated by the Lewis model and the Turning Point prediction that ensues from it. By contrast, the neo-classical growth model, with its assumption of full employment, perfect mobility, and equalization of factor returns across sectors, does not seem to provide the right description of the Chinese economy.

8. Is productivity growth slowing down in China?

Economic growth of a country can arise from either increase in the quantity of inputs or higher productivity of a given quantity of inputs. The former is often

referred to as the *extensive* source, while the latter as the *intensive*. Krugman (1994) contends that while centrally planned economies did well with regard to growth from extensive sources, they faltered when it became necessary to achieve growth from intensive sources.¹⁹ He postulated that the East Asian economies would also face a similar fate, unless these were able to learn how to increase productivity on a continuous basis. Productivity performance of the Chinese economy is therefore an important issue.

The article "Role of TFP in China's growth" addresses this issue. It estimates total factor productivity (TFP) growth rate for the Chinese economy and examines its dynamics. For this purpose, the paper pioneers the application of the *dual approach* to growth accounting for China, and makes use of the advantages it offers in the particular case of China over the more prevalent *primal approach*.²⁰ The article responds to the following two concrete questions around which the relevant literature has revolved: (a) how significant has TFP's role been in post-reform Chinese growth? and (b) has TFP growth rate slowed down in recent years?

According to the article's estimates, the TFP growth rate for China averaged to 2.95 percent per annum during 1978-2002. However, the rate was much higher (5.73 percent) in the initial period of reform during 1978-1984. It dipped to 1.20 percent during the 1984-1991 period that included the Tiananmen Square events of 1989 and its aftermath. The rate improved during 1991-2002 to 2.98, which is however lower than what it was during 1978-1984.

These results show that historically TFP contributed a large part of China's growth, and it continues to contribute to China's growth. However, the rate of TFP growth has slowed down, raising important questions for the future.

The article compares its results with those obtained from using the primal approach, some of which claim to notice acceleration of the Chinese TFP growth rate. The article points to the problems that primal approach estimates face in view of their exclusive dependence on the Chinese national income accounts (NIA) data. At the same time, it points to the necessity of better wage and capital return data so that the dual approach estimates can be improved.

9. Are Chinese provinces converging to similar income levels?

China is a huge country, with an area larger than that of the USA, and consisting of thirty provinces, the population of many of which is generally larger than the total population of many major European countries. Also, unlike the USA, which has coastline almost all around it, China's coastline extends along its east only. The country is therefore sharply divided between the provinces along the coast and those deep inland, with some provinces in the middle. Regional disparity has been a long-standing issue in China. Whether

poorer provinces of China are catching up with richer ones is therefore a question of enormous welfare significance.

Under central planning, administrative methods were used to allocate more resources to the lagging regions so that their income level could rise faster and catch up and converge with those of the more advanced regions. With the Chinese economy transiting to market and greater role of private ownership, the role of central planning tools is decreasing. However, a market economy with private ownership can also promote convergence. In fact, cross-region convergence is one of the important implications of the neoclassical growth theory. In this paradigm, convergence depends on diminishing returns to capital accumulation and diminishing opportunities of technological diffusion. It however does not specify the institutional setting under which capital accumulation and/or technological diffusion are to occur.

Most of the studies of Chinese convergence so far have examined either β -convergence or σ -convergence. Both β and σ provide only summary information about the distribution. For example, β provides information regarding the conditional mean, while σ provides information regarding the dispersion. However, these summary statistics cannot reveal what is happening to the *shape* of the distribution.

In view of the above, this paper uses a particular type of the *distribution approach* advocated by Danny Quah.²¹ It uses the Markov transition matrix methodology to capture the dynamics and to reveal the changes in the shape of the distribution. The paper uses the data ranging from 1952 to 2003. The paper distinguishes two sub-periods, the first being the pre-reform period of 1952-1978, and the second is the reform period of 1978-2003.

The results show that the distribution of per capita income across Chinese provinces over time has attained a *bi-modal* characteristic. However, this appears to have been the result of two opposing tendencies prevailing in the two sub-periods. The dynamics of the pre-reform period have worked to make the distribution to be positively skewed, with more provinces piling at lower values of per capita income. This would suggest that the administrative tools of central planning were not that successful in achieving convergence.

The dynamics of the reform period have however worked in the opposite direction, with more provinces moving to higher income groups. However, the distribution dynamics of the reform period do not seem to have settled down to a stable pattern yet, making prediction difficult. Whether or not per capita income level of the Chinese provinces will converge soon therefore still remains an open question.

10. Has inequality gone too far in China?

Before China and Vietnam embarked on high growth trajectories, several East Asian economies witnessed growth without sharp rise in inequality. Among them are Japan, followed by South Korea, Taiwan, Hong Kong, and Singapore. The experience of these economies led to the notion of the *East Asian growth model* that combines growth with equity.

However, China has veered away from this model, letting inequality increase sharply. The Gini coefficient of inequality for China has increased from around 0.3 in 1976 to more than 0.5 in 2004. This high level of inequality puts China in the company of many Latin American countries that are well known for high inequality. As a result, there is now the question whether China will also face the fate of these Latin American countries, many of whom are stuck in the "Middle Income Trap."²²

The article, "Will Inequality Lead China to the Middle Income Trap?" considers this question. It introduces the concept of *Inequality Trap*, whereby high economic inequality leads to the rise of vested interests in the political structure that then thwarts any inequality-reducing initiative and thus helps to perpetuate and even aggravate inequality.

The article delineates the ways in which perpetuation of high inequality can lead to the Middle Income Trap. First of all, high inequality generates high savings, which may be misallocated, leading to lower capital efficiency and thus lower GDP growth. This is the *economic* route. Second, there is also the *socio-political and environmental* route. High inequality leads to social unrest, damaging the investment climate and thus causing slowdown of economic growth. Environmental injustice resulting from inequality aggravates social unrest. Also, politico-administrative sources of inequality – prominent in China – add fuel to social discontent.

The article notes that China is indeed in the danger of falling into the Inequality Trap that may lead it to the Middle Income Trap. However, it notes that inequality in China is still of *recent origin*, so that the vested interests favouring inequality may not yet be encrusted in the country's political structure. As a result, there is still hope for China to revert back to the East Asian model of growth with equity.

The article points to the different types of policies that may be pursued to achieve the equity goal. Among these are improvement of the functional distribution of income (the wage route) and fiscal measures (tax and transfer, i.e. the redistributive route). In addition, the article suggests that China can make use of its socialist heritage and revive and make greater use of cooperative ownership, allowing the members to share both the wage and profit incomes.

The article ends by reviewing the decisions of the Third Plenum of the 18th Central Committee of the Chinese Communist Party and suggests that implementation of these decisions can be a good beginning in bringing China back to the East Asian tradition of growth with equity.

11. What explains the East Asian “exceptionalism”?

Following the China-specific articles, the volume reverts back to the discussion of general questions of transition and growth. In the article, “The ‘Luck View’ vs. the ‘Long View’: Some Observations on William Easterly’s View of East Asian Growth,” it raises the question of the East Asian *exceptionalism*. The latter refers to the fact that while a string of East Asian countries has succeeded in development and economic transition, countries in other parts of the developing world generally have not had equivalent success.²³

The article criticizes William Easterly’s view that East Asian growth is purely a matter of luck. It shows that this “Luck View” is untenable, unwarranted, and unfortunate. It is untenable, because it cannot explain the *geographical concentration* of the East Asian growth phenomenon. It is unwarranted, because such a portrayal is not necessary to discount the validity of the new growth models – one of the motivations for Easterly to adopt the “Luck View” – whose equilibrium growth rates depend on country specific characteristics. It is unfortunate, because it implies unfair evaluation of the labour and ingenuity of the people of the East Asian countries, through which the growth of their economies was achieved.

The article rather puts forward a “Long View” of the East Asian growth – a view that sees this growth as a part of the transition of human societies from the pre-industrial to the industrial level on a global scale through the process of *diffusion*. From this viewpoint, Japan can be seen as another focal point for diffusion of industrialization in Asia. Many particular historical conditions were necessary for Japan to play this role and for South Korea, Taiwan, Hong Kong, and Singapore to emerge as the first batch of Newly Industrialized Economies (NIEs).²⁴

The article however notes that what was once exceptional can become replicable with time. It notes that, with the road paved, it has become easier for other nations to follow the route, as the experience of other East Asian countries, such as China, Indonesia, Malaysia, Thailand, and Vietnam, shows. The proposition of export-led growth strategy has now become more general, allowing many non-East Asian countries to implement this strategy with considerable degree of success.

12. Whither Transition?

The last chapter of the book – Whither Transition? – considers the transition processes as a whole and raises the issue of their future prospects. It notes that systemic transition has been associated with huge output loss and immense human costs. It has also produced varied outcomes. While a small group has moved toward *convergence* with capitalist countries, another group is pursuing an independent course, preserving and consolidating a large state sector in the economy and forming *independent* foreign alliances. The remaining countries are yet to decide which of the above two groups to join.

There is therefore an important similarity in the economic structure of independent systemic transition countries and stand-alone transition countries. Both want to preserve a dominant state sector and use it for various policy purposes.

A dominant state sector in the economy both presents possibilities and poses pitfalls. Both stand-alone and independent systemic transition countries had varied degrees of successes in managing and using the state sector. They are encountering various problems too. It will be a test of the political systems of these countries whether, going forward, they can ensure realization of the potentialities of the state sector and avoid the pitfalls.

The political systems of these two groups of countries differ markedly but are still evolving. Whether the transition processes in these two groups of countries will produce a social model based on a dominant state sector in the economy and a political system that can make the best use of the potential of that sector for the interests of the people is something that remains to be seen.

Endnotes

¹For Hegel's discussion of social evolution, see Hegel (1975).

²For discussion of transition as "structural transformation" (meaning changes in the GDP composition), see Chenery et al. (1986).

³See Lewis (1954, 1955, 1972, 1979, 1980, 1984) for the Lewis growth model and Fei and Ranis (1963, 1964, 1969, 1997), Ranis (2004), and Ranis and Fei (1961, 1963, 1975) for its extensions. See also Chapter 4 of this book.

⁴See Nove (1983/1991) for a discussion of conversion of planning into total planning under Stalin.

⁵See Kornai (1992, 2000) for discussion of whether transition from public to private ownership of productive assets is necessary for success in transition from planning to market.

⁶See Luxemburg (1922) and Trotsky (1931, 1936) for the prediction that dictatorship of the proletariat will become dictatorship of the party, and dictatorship of the party will become dictatorship of the leader (a person).

⁷See Fukuyama (1992) among others who propounded the "End of History" thesis.

⁸A prominent example of area study centers is Harvard University's *Russian Research Center* (RRC), currently renamed as Davis Center for Russian and Eurasian Studies. Similar area study centers